

The Shifting Tides of Merger Litigation Argument Special Guidance

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The paper

- ▶ Recent Developments in Merger Litigation

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- ▶ Empirical Analysis

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- ▶ Delaware's (Re-)Balancing Act

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Move to Other Jurisdiction

Choices

1. Go to other states
2. File under §240.14a-9 of Federal Rules (Disclosure Mandate)
3. File under appraisal statutes of Delaware Court

TABLE 1: FILINGS BY DEAL COMPLETION YEAR

	Deals	% with Litigation	% Delaware*	% Other States*	% Federal*	% Filed in Multiple Jurisdictions
2003	41	34%	7%	100%	7%	7%
2004	140	33%	43%	78%	0%	33%
2005	159	37%	39%	66%	7%	14%
2006	210	39%	21%	82%	12%	17%
2007	287	42%	28%	86%	13%	35%
2008	152	43%	23%	92%	21%	31%
2009	58	76%	34%	98%	20%	50%
2010	134	90%	49%	88%	26%	53%
2011	130	92%	51%	88%	39%	63%
2012	118	90%	56%	88%	34%	69%
2013	120	96%	52%	83%	32%	61%
2014	117	91%	55%	73%	15%	41%
2015	142	89%	60%	51%	20%	31%
2016	166	73%	34%	61%	39%	33%
2017	127	85%	9%	18%	87%	22%
Total	2,101	64%	41%	74%	28%	42%

There are some unexplained falls

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 - ▶ Change in other state laws making it easier
 - ▶ Change in the federal law

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- ▶ Could rate differences be explained by actions in other jurisdictions
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- ▶ **Sept 16, 2010:** Federal Law §240.14a-9 was substantially changed (Proxy access rules)

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Lawyer fees changed

Change in Litigation Costs

TABLE 3: MEDIAN ATTORNEYS' FEES BY DEAL COMPLETION YEAR
AND LITIGATION OUTCOME (IN THOUSANDS)

	# of Non- Zero Fees	All Non- Zero Fees	Nondisclosure Settlement	Disclosure- Only Settlement	Mootness Fee
2003	4	\$425	\$450	\$499**	N/A
2004	25	\$785	\$1,050	\$350	N/A
2005	30	\$400	\$588	\$395	N/A
2006	52	\$505	\$1,118	\$435	N/A
2007	68	\$643	\$2,925	\$525	N/A
2008	41	\$500	\$893	\$485	N/A
2009	29	\$575	\$3,050	\$575	N/A
2010	89	\$600	\$1,375	\$531	N/A
2011	78	\$600	\$1,750	\$500	N/A
2012	73	\$500	\$1,940	\$450	\$4,000*
2013	57	\$490	\$2,400	\$450	N/A
2014	49	\$500	\$900	\$435	\$450
2015	54	\$373	\$825	\$400	\$200
2016	20	\$263	N/A	\$320	\$238
2017	11	\$280	N/A	\$300	\$265

Year	Number	Value (bil. USD)	Avg Deal Size (Mn. USD)
2003	10,547	709	67.26
2004	12,306	1064	86.49
2005	13,054	1446	110.77
2006	15,087	2003	132.75
2007	16,541	2199	132.95
2008	14,022	1318	94.02
2009	11,955	970	81.1
2010	12,577	1143	90.85
2011	12,798	1361	106.31
2012	12,659	1145	90.43
2013	12,623	1306	103.45
2014	14,044	2288	162.94
2015	14,394	2526	175.48
2016	15,319	1,866	121.81
2017	18,552	1,882	101.46

Size of the deal

- ▶ Size of the deals would matter
- ▶ Even if deals above 100mn are taken
- ▶ *Distance of all deals from 100mn may not be the same every year*

Type I Versus Type II Error

*These trade-offs will also occur as Delaware cuts back on deal litigation through legislative and judicial interventions designed to eliminate strike suits. Certainly fewer bad suits will be brought (Type I error will decrease)-that is apparent from the data that we presented earlier in this paper. What will go undetected, **but nevertheless be equally certain to occur**, is that Type II error will also increase. In other words, fewer good cases that would result in substantial judgments against corporate wrongdoers will be filed and successfully prosecuted.*

—(emphasis added)

Is it equally certain?

- ▶ While it seems intuitive, it may not happen
- ▶ It depends on the rule set up in *Trulia*

Trulia – A summary

- ▶ Parties quickly reached settlement
- ▶ Discovery of 3000 pages
- ▶ Three depositions
- ▶ USD 375K as legal fees

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All directors are protected from:

Unknown Claims and claims arising under federal, state, foreign, statutory, regulatory, common law or other law or rule" held by any member of the proposed class relating in any conceivable way to the transaction

Is this rule symmetrical

- ▶ This rule does not affect Type I and Type II equally
- ▶ Shareholders do not know all violations
- ▶ Imagine cases where litigation was *protecting* directors
- ▶ Were more serious violations being *covered up* by the Trulia settlement
- ▶ This rule may reduce Type II errors
- ▶ The judge intuitively picks this up